GMS WEEKLY

Your Source for Recycling News

April 18th, 2025
Week 16
Volume 271, Issue 1181

Highlights:

- **90 day pause.**
- **Knock on effects.**
- **Reciprocal rules.**
- **Tonnage deprived.**
- **Deadline extends?**
- **Scan to download / view the Weekly on the GMS App!**

QUOTE of the WEEK

"The impossible exists only until we find a way to make it possible."

– Mike Horn

-- MARKET COMMENTARY --

EXPLOITING EXTENSIONS!

The volatility of the last few weeks still seems far from settled despite the 90-day tariff pause for various countries setting in and negotiations continuing in earnest to see just what can be bargained for or even salvaged at this point, in this increasingly fraught and unnecessary trade war bought on by Team Trump in his second term. The staggering tariffs against China have reportedly peaked to 245% from last week as President Xi takes a stronger stance against the U.S. and refuses any further negotiations with Trump, all while the EU and China make decisive gains in easing trade between the continents / nations. In the interim, even though dry markets were up for the week by 1.6%, overall, they have declined a massive 24% this month (according to Baltic Exchange Dry Index), as oil itself climbed over 3% to end the week at nearly USD 64.50/barrel, in the face of OPEC+ countries now reversing course on increasing output amidst a rampant decline in global energy demands. As protests rages across America in the hopes of a (economic) reprieve, sub-continent markets have also had to endure knock on effects of the tariffs as the standoff between China and the U.S. remains of particular concern for Indian sub-continent ship recyclers and the likelihood of excess quantities of tariff-afflicted cheaper Chinese steel resuming resales into the sub-continent markets again. Moreover, reciprocal tariffs will certainly affect locations where sub-continent markets resell their materials to and as such, until the tariff landscape is ironed out, it remains difficult to gauge what the overall impact will be on the ship recycling sector, including vessel prices moving forward.

The 90-day pause has brought **some** respite from what was expected to be a busy second half to the year - in terms of a supply of backlogged vintage ships for recycling sale including many 90s built bulkers and containers that have managed to over-extend their respective trading lives. Conversely, on the back of the recently firming freight markets, recycling destinations are being deprived of tonnage once again causing demand and prices to stay steady, especially as we stand before another crazy monsoon a mere 6 weeks away and local fundamentals display their respective shares of volatility. The U.S. Dollar shuffles up the week with its mixed performance against recycling nation currencies, and steel plate prices start to display unfavorable signs all over again. As such, this perhaps is as good a time for non-HKC yards to concentrate on facility upgrades, all while the authorities in Bangladesh are yet to confirm an extension beyond the original March 31st deadline for yards to have begun yard upgrades until June 26th after which, their future operations would be denied. While Pakistani recyclers still have some ways to go with their upgrades, Turkey at the far end has nearly all fundamentals decline as it resumes its journey into the abyss of despair.

Overall, as nations unite in this seemingly one-man induced economic apocalypse that is ravaging nations and global businesses alike, whatever eventually comes of it, 2025 is certainly packaging itself to offer staggering levels of economic imbalances in vessel trading and recycling spaces, especially if international governing bodies change the modus operandi of future economic trade patterns without the U.S. and the Dollar gets dethroned as the primary trading instrument. This could lead to an unprecedented collapse in security, global trade, and even the collapse of sanctions that could once again witness the resumption of USDN / OFAC tonnage being delivered at shores, all while the pledges of global security and U.S. prosperity start to lose effect. Tough year ahead!

GMS demo rankings / pricing for week 16 of 2025 are on Page 5.

BANGLADESH

EXTENSION EXCITEMENT!

Not until 27th.

Yard inspections are reportedly underway this week as the BSBA seeks to grant extensions on the deadline to begin HKC upgrades to facilities from March 31st. However, late (at the time of writing), news from our Bangladeshi offices reported that key personnel within the newly formed Ship Recycling Board are currently traveling overseas on official matters until April 27th, only then will any viable extension be granted. This has left a bunch of local arrivals, stranded outside Bangladesh without their respective No Objection Certificates (NOCs), unable to enter port limits. This will certainly spell trouble for the next batch of incoming vessels within minimum fuel, to be delivered promptly within the subsequent tide, certainly sending some of the incoming 'as is' units deeper into the red. It is now a frantic scramble as Chattogram recyclers are rapidly engaging various department heads in coming to a swifter resolution as L/C interest charges too are likely to start as these vessels lay idling awaiting delivery.

Frantic scramble.

Post-Eid, the market still seems lethargic as vessel prices and demand remain relatively unchanged since last week and with NOC permissions pending, it is likely to be a quieter time at Chattogram recycling yards this week as well. Moreover, as local fundamentals too start to raise eyebrows amidst a Bangladeshi Taka that has once again displayed its share of volatility as it declined to BDT 120.97 against the U.S. Dollar and ended the week at BDT 121.84 (back on the heels of BDT 122 again), all while the Bangladeshi Taka remains dead at the doorstep, at USD 529.41/Ton, leaving local recyclers in limbo on the pricing chart, yet, atop the GMS Market Rankings for well over a quarter now.

Pause favours.

Domestically, political trade war has erupted between India and Bangladesh as ousted PM Sheikh Hasina remains in exile in India and demands for her return go without a resolution. Imports from India too have halted by the Bangladeshi government on account of a suspension of transshipment services by India. Inflation has started to rise as it ended just a few basis points higher at 9.35% in March (vs 9.32% in Feb). Domestic steel trade between yards and ship recycling mills has also been slow to pick up post-Eid as steel mills are reportedly yet to engage fully in operations. On the larger spectrum of the economy, amidst massive incoming personal remittances, national loans have been reportedly repaid by up to 70%, leaving the nation's treasury well-funded in the interim / until the upcoming budget is announced. And although the nation's inflation is still at a high +9%, the government has reportedly set targets to lower it to under 6% through FY 2025 – 2026.

Only chance.

Overall, as local yards lag behind finally realizing that the upcoming extension is likely their only opportunity to begin their respective upgrades to yards infrastructures given that only a handful of yards so far are HKC approved, with many more in the pipeline having reportedly initiated some form of upgrades. The 90-day pause on tariffs has also encouraged end buyers to continue offering on any available tonnage, safe in the knowledge that post extension, they won't be subjected to any extra charges / taxes in the short term, which itself (tonnage availability) remains utterly in flames.

NO MARKET SALES REPORTED

INDIA

BOUNCING BACK!

Fresh off the 90-day tariff pause announcement for countries worldwide and similar to the market in Bangladesh, India seems to have resumed its form (in part). And although there still remains the spectre of potentially alarming reciprocal moves between China and the U.S., which Alang recyclers are eagerly monitoring, for the time being however, the tariff volatility has certainly eased local sentiments as no immediate knock-on effects have made themselves known thus far. Yet, volatility in key fundamentals continues as despite the INR registering an impressive 75 basis point jump to end the week at Rs. 85.45 against the U.S. Dollar, local steel plate prices declined USD 5/Ton, in the face of improving Chinese plate prices that firmed in the same amount.

Volatility eases.

Nonetheless, after last week's maddening economic uncertainty that nearly halted global trade and resulted in Alang offers being immediately reduced or even entirely withdrawn from the bidding tables, prices and demand have subsequently improved on the back of the pause this week, leaving India 2nd on the market rankings once again. And this has immediately presented itself at Alang's waterfront this week as India was the destination with the most vessels and tonnage idling / delivered to their respective recyclers this week.

Financially fixed

And while Indian official are due to meet with the Trump team in the coming weeks, in order to engage in further bilateral trade talks between the nations (especially as India is increasingly becoming a prominent international player in the auto and medicinal exports sectors), the overall economic forecast for the country (as a ship recycling destination) does seem far rosier than its neighbouring competition. Moreover, with well over USD 666 Billion in treasury reserves, Indian ship recyclers are certainly financially well-aided on any upcoming recycling transactions, no matter the shape or size. Retail inflation too has reportedly dipped as low-income individuals and families incumbered by tax burdens are free to spend even more of their disposable income, further bolstering the lower and middle classes, which are the largest in the nation, including the over 100,000 labourers and yard workers at Alang.

Taking advantage?

And while the nations finances are headed in the right direction, buyers in Alang remain keen to get their hands on any of the slim pickings of vessels that are being paraded on the bidding tables and that too finally at levels above those from Pakistan, which itself is starting to show signs of disarray at the local anchorage. Moreover, as Bangladeshi recyclers put the 'pedal to the metal' with upgrades to most of their facilities up to HKC standards, leaving India with a lower advantage in a post July 1st HKC world, save for the perennial love affair of Alang buyers with specialist / SS / Non-Ferrous / Cruise vessels.

'Pedal to the metal'.

NO MARKET SALES REPORTED

PAKISTAN

POSITIVELY SINKING!

Back to bottom.

Despite leading India for a few short weeks and hammering away a collection of purchases and even more impressive number of local deliveries on the back of firming local sentiments and prices, which themselves improved only recently when the global economic situation was far more stable (pre-tariffs), Pakistani recyclers have managed to sink themselves to the bottom of the Indian sub-continent market rankings once again this week. Indeed, several sales were recorded to starving Gadani recyclers who spent a significant time on the sidelines – a diet that primarily included small(er) LDT bulkers and offshore units (such as barges and tugs) from regional owners with geographically conveniently positioned vessels.

Sales recorded.

In contrast, this week was far less rosy as there have been no fresh arrivals reported and the only two deliveries were arrivals from weeks prior. Moreover, fundamentals aren't doing that much better either as other than a local steel plate price that's managed to start flatlining over the last 3 weeks (after plummeting USD 40/Ton in a month) at USD 624/Ton, the Pakistani Rupee itself declined to well above PKR 280 against the U.S. Dollar (below which, it has managed to stay under for the longest time) to close the week out PKR 280.48 (having spiked to nearly Rs. 281.45 during the week). Blending both of the above into a toxic cocktail of a serious shortage of tonnage and a far more aggressive India and even Bangladesh saw Paksitani recyclers positively sinking to the bottom of the board this week.

Back to positive.

On the broader domestic front, with Chinese steel plate prices firming towards their baseline USD 300/Ton once again, coupled with the possible redirection of tariff-afflicted cheaper Chinese steel into the local market, could see Pakistani steel plate prices starting to slide in the coming weeks, especially if these tariff wars continue unabated. Moreover, the result of recent tariffs is also seeing a massive sell-off of U.S. Dollars amidst the populous on the back of rising concerns and a loss of confidence in Team Trump, including their ongoing administrative policies that are adversely affecting the lives of hundreds of millions of people worldwide. This could see the U.S. Dollar start to devalue in the coming weeks, especially if the reportedly dramatic sell-off continues at pace.

Engaging time.

Finally, an upcoming FY 2025 – 2026 budget in the first week of June, followed by the HKC in July and all of it being delivered in a drowning Monsoon season, is certainly gearing up to be an engaging time for Gadani recyclers, especially as they slip to third on the market rankings against the backdrop of a firming India and even firmer Bangladesh. What is to come of Pakistan over the next quarter remains to be seen. For now, however, as all sub-continent locations look to make the most out of the 90-day tariff pause, it will be interesting to see if Gadani buyers can get their hands on any of the tonnage that comes around in the interim, or will they spend another quarter on the sidelines again?

NO MARKET SALES REPORTED

TURKEY

DOWN THE HATCH!!

Below USD 300/Ton

As the single market being hammered the worst by the sheer brunt of its economic collapse (to where inflation was over 75% and is still at a massive 38%.10 at the end of March), the Lira having dropped by nearly 450% in the last 5 years, the maddening shortage of recycling tonnage, volatile steel plate prices, ongoing political riots, and (impeding) regulations that have created a chokehold on Aliaga's ship recycling sector, this week proved to be adding cherries to the cake of Turkish misery as not only did both import and local steel plate prices fall by about USD 12/Ton and USD 10/Ton respectively (having declined USD 20/Ton and USD 10/Ton respectively just the week prior), resulting in local offerings across the board declining by about USD 10/MT and under USD 300/Ton on all units across the board, all at a time that both Indian and Bangladeshi levels on the bidding tables seem to gearing up for slightly firmer offerings. The Turkish Lira too resumed its unimpeded decline against the U.S. Dollar as the Lira itself fell another 35 basis points this week, closing it out at another record-breaking TRY 38.09. The compounding lack of shortage in the availability of tonnage is just the final…

Oh, Constantinople!

NO MARKET SALES REPORTED

GMS Weekly – Market Rankings

For Week 16 of 2025, GMS Market Rankings / vessel indications are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	**Improving**	460 / LDT	480 / LDT	490 / LDT
2	India	**Improving**	455 / LDT	475 / LDT	485 / LDT
3	Pakistan	**Improving**	450 / LDT	470 / LDT	480 / LDT
4	Turkey	**Weak**	270 / LDT	280 / LDT	290 / LDT

WEIRD ONES!!

- *Subtitles from more than 53,000 movies and 85,000 TV-show episodes have been used to train generative AI.*
- *In 1998, Aaron Sorkin insisted to ABC executives that if he were forced to add a laugh track to his first-ever TV show, Sports Night, he'd "feel as if I'd put on an Armani tuxedo, tied my tie, snapped on my cufflinks, and the last thing I do before I leave the house is spray Cheez Whiz all over myself." Sports Night still debuted with a laugh track.*
- *Comic Sans was originally designed for a program in which an animated dog taught people how to use their first personal computer.*
- *AI image generators have a penchant for rendering hot people.*
- *The total employees of the government's free tax-preparation software, Direct File, are outnumbered by the lobbyists working for Intuit.*
- *Electric cars, with powerful acceleration and no fuel costs, might make the best police vehicles.*
- *Minivan sales in America have fallen about 80 percent from their all-time high in 2000.*
- *One breadfruit tree can feed a family of four for at least 50 years.*
- *Proteins can make pretty good sugar substitutes.*
- *Sylvester Graham, the inventor of the graham cracker, thought his crackers would curtail masturbation.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**DELIVERY TIDES**
April 18 – Good Friday April 20 – Easter Sunday	April 26 – May 03 May 11 – May 17 May 24 – June 01

BANGLADESH	
BANK HOLIDAYS	**DELIVERY TIDES**
April 14 – Bengali New Year May 01 – May Day May 11 – Buddha Purnima	April 27 – April 30 May 11 – May 14 May 26 – May 29

BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
May 01 – 05 – Labor Day May 31 – June 02 – Dragon Boat Holiday	May 01 – Labor Day	April 23 – National Sovereignty & Children's Day May 01 – Labor & Solidarity Day May 19 Youth & Sports Day

Prices indicated above are as reported in the market and are not necessarily accurate. This information is provided without prejudice and is given in good faith and without any guarantees whatsoever. While every care has been taken in the preparation of this report, no liability can be accepted for any loss incurred in any way whatsoever by any person relying on the information contained herein. Opinions expressed herein may be deemed subjective and arbitrary. This WEEKLY is intended only for the person or entity to which it is addressed and may contain confidential and/or privileged material. Any review, retransmission, dissemination, or other use of this information by persons or entities other than the intended recipient is prohibited.

ALANG - Port Position as of April 18, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Athena*	*1,178*	*Supply Vessel*	*Delivered April 16*
2	Auro	20,009	Oil Tanker	Arrived April 14
3	Kelsey 2 (Under Tow)	3,230	Chemical Tanker	Arrived April 17
4	Lord 17	2,583	General Cargo	Arrived April 12
5	Pasha 9	2,396	General Cargo	Arrived April 16
Total Tonnage		**29,395**		

CHATTOGRAM - Port Position as of April 18, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Jarucha 6*	*975*	*General Cargo*	*Delivered April 17*
2	Pilatus 22	974	LPG Tanker	Arrived April 16
3	Seaworld	5,534	RoRo	Arrived April 16
		7,484		

GADANI - Port Position as of April 18, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*DSM Star*	*8,000*	*Bulk Carrier*	*Delivered April 11*
2	*Sea Wise*	*5,533*	*Bulk Carrier*	*Delivered April 17*
Total Tonnage		**13,533**		

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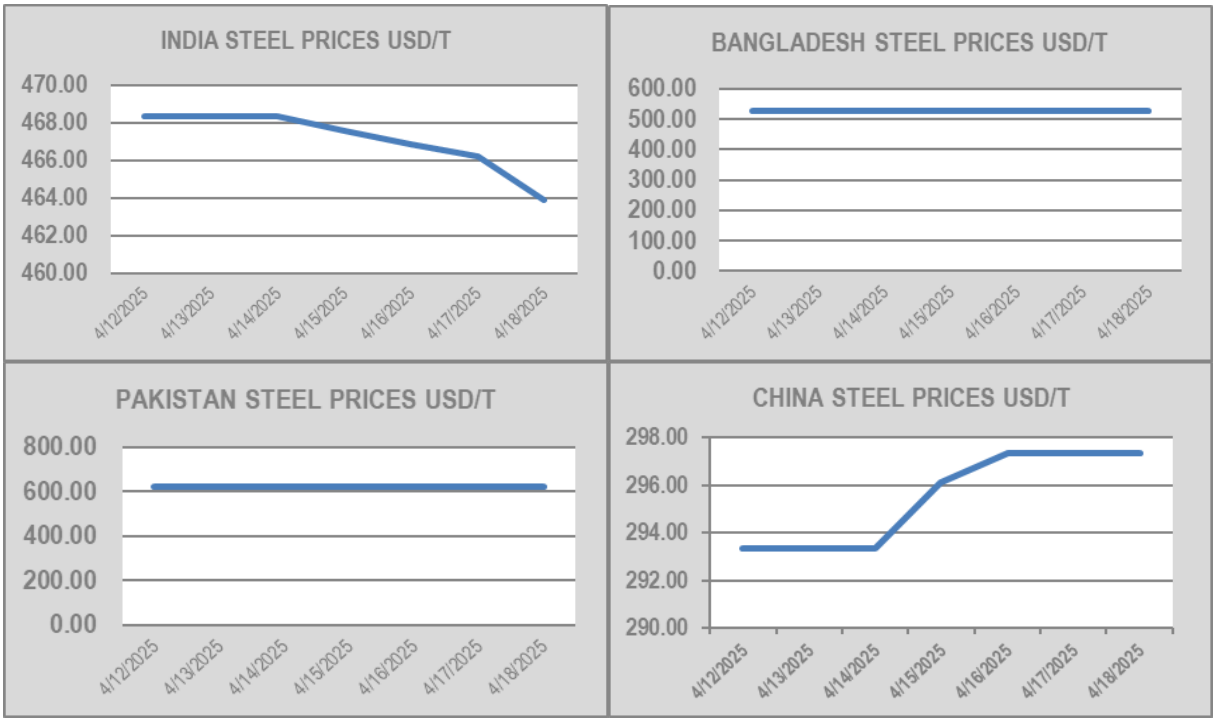
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
4/12/2025	468.33	40,300.00	624.22	175,000.00	529.41	63,000.00	293.38
4/13/2025	468.33	40,300.00	624.22	175,000.00	529.41	63,000.00	293.38
4/14/2025	468.33	40,300.00	624.22	175,000.00	529.41	63,000.00	293.38
4/15/2025	467.58	40,100.00	624.22	175,000.00	529.41	63,000.00	296.13
4/16/2025	466.85	40,000.00	624.22	175,000.00	529.41	63,000.00	297.37
4/17/2025	466.21	39,800.00	624.22	175,000.00	529.41	63,000.00	297.37
4/18/2025	463.86	39,600.00	624.22	175,000.00	529.41	63,000.00	297.37



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